CHAPTER NINE

RESTRUCTURING THE GROUP

Strategic Plan 2.0

In March 1991, when Ratan Tata took over as chairman, Tata Sons, he found himself at the helm of a virtually disjointed group. As Venu Srinivasan, former chairman emeritus and MD of the Sundaram-Clayton group, says, when Ratan succeeded JRD, he was saddled with ‘a disparate group of companies; it didn’t really have a common and strong thread and culture’. ‘Its [Tata Sons] companies were unco-ordinated, overmanned and undermanaged,’ wrote *The Economist*. Not many attributed to Ratan the managerial skills required to make any significant difference to the group.

Several industry observers predicted a bleak future for the Tatas. Some even commented that the group could disband under the new chairman. ‘In two years’ time … you could see a very different kind of Tata group—with more companies like TOMCO being sold off and others breaking away,’ opined a management consultant when interviewed by a leading business journal. Some others said that the ‘confederation may break up into three or four sub-groups, each being controlled by powerful executives-turned-entrepreneurs’.

Many also expected Ratan’s troubles to be compounded by India’s tryst with liberalization. `It was a cumbersome conglomerate with stakes in a huge collection of companies that seemed likely to wither in the face of foreign competition,’ commented *The Economist*. And he was not seen as a man with the attributes to successfully navigate the behemoth of a group resting on a platform of tethered boats of various sizes, shapes and strength attempting to navigate an oncoming storm. As he said in an interview with *Fortune* magazine in 2012, when he had taken over as chairman, Tata Sons, he was seen as ‘someone who would destroy the group, who didn’t have